Type MS · Primary, secondary and tertiary sectors

Answer 1 of 11 · Question 3 part b · 2 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **job production.** • Method of production that involves all factors to complete one unit of output at a time **(1)**	**(1)**

Question Number	Outline why *AWG* can be classified as operating in the secondary sector. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying why *AWG* can be classified as operating in the secondary sector, plus 1 further mark for linking it to the context of the business. • *AWG* take raw materials **(1)** to convert them into jumpers and dresses **(1)** **NB** Do not accept why that is not in the context of *AWG*. **Accept any appropriate response.**	**(2)**

Question Number	Calculate the total amount, including interest, *AWG* would have paid to the bank. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 70 000 x 0.065 = 4 550 **(1)** 70 000 + 4 550 = 74 550 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Primary, secondary and tertiary sectors

Answer 1 of 11 · Question 3 part b · 2 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse the impact on *AWG* of a depreciation of the ISK. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Exchange rates will affect the price that *AWG* will pay for importing the wool and other materials they buy to make the clothing • The cost of the jumpers bought by customers in other countries will be impacted by a change in the exchange rate **AO3** • A depreciating krona could lead to an increase in the cost of material purchased by *AWG* and may result in an increase in the price of the clothing • A depreciating krona may lead to an increase in demand from overseas customers who benefit from the change in the exchange rate	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Primary, secondary and tertiary sectors

Answer 1 of 11 · Question 3 part b · 2 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** cost plus pricing Justify which **one** of these two options *AWG* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Competition pricing would see *AWG* selling clothing at similar prices to other clothing retailers • **Option 2** – Cost plus pricing would mean *AWG* would calculate the costs of making the jumpers and then add a markup for profit **AO3** • **Option 1** – This may increase the chance of selling the clothes as younger customers are likely to compare the prices of clothing especially if their income is low • **Option 2** – *AWG* can guarantee that they would make a profit on each item sold **AO4** • **Option 1** – However, as *AWG* use sustainable materials in its jumpers, the manufacturing cost of the clothing may be high, which means selling at a competitive price may not be feasible • **Option 2** – However, cost plus pricing does not account for what the customer is willing to pay, and *AWG* could be losing out on possible increased revenue/profits	**(9)**

Type MS · Primary, secondary and tertiary sectors

Answer 1 of 11 · Question 3 part b · 2 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Primary, secondary and tertiary sectors

Answer 1 of 11 · Question 3 part b · 2 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate the commission payment paid to an employee selling 12 jumpers. **Answer**	**Additional guidance**	**Mark**

Type MS · Primary, secondary and tertiary sectors

Answer 2 of 11 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 2 of 11 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Primary, secondary and tertiary sectors

Answer 2 of 11 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a.i in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 2 of 11 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a.i in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Primary, secondary and tertiary sectors

Answer 2 of 11 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.i in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Primary, secondary and tertiary sectors

Answer 3 of 11 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part a.i in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part a.i in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part a.i in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Primary, secondary and tertiary sectors

Answer 4 of 11 · Question 1 part a.i · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part a.i in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72** % **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Primary, secondary and tertiary sectors

Answer 5 of 11 · Question 1 part b · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	**Mark**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 1 of 7 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Marketing** **A –** Human resources – this is not the correct answer as it is responsible for employees **B** – Finance – this is not the correct answer as it is responsible for money **D** – Production – this is not the correct answer as it is responsible for making goods	**(1)**

Question Number	Which **one** of the following is the difference between cash inflow and cash outflow? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Net cash flow** **A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month **C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month **D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the sector that converts raw materials into products? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Secondary** **A** – Public – this is not correct as it is business organisations owned by government **B** – Tertiary – this is not correct as it is the provider of services **C** – Primary – this is not correct as it is the extraction of raw materials from the earth	**(1)**

Question Number	Which **one** of the following is an example of a good? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Motor vehicle** **B –** Financial advice - this is not correct as it is an example of a service **C –** Car washing– this is not correct as it is an example of a service **D –** Gardening – this is not correct as it is an example of a service	**(1)**

Question Number	Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €320 973.75** **A –** €317 857.50 – this is not the correct answer as it is an increase of 2% **B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5% **D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5%	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 3 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B – 76** **A –** 75 – this is not the correct answer as it is the correct answer minus one **C –** 77 – this is not the correct answer as it is the correct answer plus one **D –** 78 – this is not the correct answer as it is the correct answer plus two	**(1)**

Question Number	Define the term **limited liability** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **limited liability**. • When the business owner is only responsible for the original amount of money invested in the business **(1)**	**(1)**

Question Number	Define the term **social enterprise** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** way *Irsi Chocolatier* could use the Boston matrix. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix • *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 75.50 x 0.06 = 4.53 **(1)** 75.50 – 4.53 = 70.97 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Explain **one** benefit for a business that uses test marketing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 6 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse the importance of branding for *Irsi Chocolatier*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets • Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out **AO3** • This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business • As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Primary, secondary and tertiary sectors

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 01 · extract 7 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** method *Irsi Chocolatier* could use to improve its competitive position. **Answer**	**Mark**

Type MS · Primary, secondary and tertiary sectors

Answer 7 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **secondary sector.** • The sector that turns raw materials into finished goods **(1)**	**(1)**

Question Number	Outline **one** way *Café Pinch* could use social media to promote its business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Café Pinch* could use social media to promote its business, plus 1 mark for linking it to the context of the business • If colour photographs of menu dishes were posted online **(1)** this could entice new customers **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch* **Accept any other appropriate response**	**(2)**

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 66 842 – 5 782 = 61 060 **(1)** 61 060/103 825 x 100 = 58.81 **(1)**	Award 1 mark for correctly substituting numbers into formula Award full marks for correct numerical answer without working	**(2)**

Type MS · Primary, secondary and tertiary sectors

Answer 7 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse **two** factors *Café Pinch* might consider when measuring its success. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As the owner of *Café Pinch*, Kumaran can check the business objectives he has set for the business • Comparing the annual financial details of the café, such as profit from 2018 through to the present time **AO3** • The owner used his experience gained in other good restaurants to set up his own business so if it is running in the way he saw it running then this can be considered a success • If the profit has increased year-on-year this shows success of the business as there is a demand for the products it sells leading to loyal customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Primary, secondary and tertiary sectors

Answer 7 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	*Café Pinch* is considering two options: **Option 1:** updating the noticeboard in the staffroom daily with information such as sales targets and staff rotas **Option 2:** weekly staff meetings. Justify which **one** of these two options *Café Pinch* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a noticeboard keeps chefs and waiters updated about the café with the most up to date information about sales or meals achieved • **Option 2** – Having a weekly staff meeting allows the chefs and waiters to ask questions on any updates of the cafe **AO3** • **Option 1** – It can lead to an improved relationship between the owner and his employees as they will have the most up to date information making them feel valued and part of a team • **Option 2** – It can lead to improved communication as Kumaran can respond to queries straight away and clear up any misconceptions **AO4** • **Option 1** – However, unless all of the employees read the notices every day or if Kumaran forgot to update the notices daily then communication may not improve and any positive feelings of employees could be lost • **Option 2** – However, as all staff will be involved in the meetings they are likely to take place out of hours and some staff may not want to attend therefore miss out on important information	**(9)**

Type MS · Primary, secondary and tertiary sectors

Answer 7 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Primary, secondary and tertiary sectors

Answer 7 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate the return on capital employed. **Answer**	**Additional guidance**	**Mark**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.i in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.i in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a.i in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a.i in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Primary, secondary and tertiary sectors

Answer 8 of 11 · Question 1 part a.i · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a.i in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
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Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
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Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Primary, secondary and tertiary sectors

Answer 9 of 11 · Question 1 part c · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	**Mark**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 1 of 9 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 2 of 9 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 3 of 9 · find part b in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 4 of 9 · find part b in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 5 of 9 · find part b in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 6 of 9 · find part b in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 7 of 9 · find part b in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 8 of 9 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Primary, secondary and tertiary sectors

Answer 10 of 11 · Question 1 part b · 1 mark

2025 NOV · Paper 01 · extract 9 of 9 · find part b in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part a.ii in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part a.ii in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part a.ii in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part a.ii in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Type MS · Primary, secondary and tertiary sectors

Answer 11 of 11 · Question 1 part a.ii · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part a.ii in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**